Category	Requested	Awarded
Filing and Motion Fees	$690.00	$690.00
Jury Fees	$150.00	$150.00
Service of Process	$703.43	$703.43
Court Reporter Fees	$550.00	$0.00
Electronic Filing Fees	$240.58	$240.58
Other (Mileage/Certified Mail)	$134.28	$124.60
Total	$2,468.29	$1,908.61

Based on the above, the Court reduces the requested costs by $559.68 and award litigation costs in the amount of **$1,908.61** ($2,468.29 – $559.68).

Accordingly, the Court awards Plaintiffs **$25,019.50** in attorney's fees and **$1,908.61** in costs, for a combined award of **$26,928.11.**

2.

CASE #	CASE NAME	HEARING NAME
CVRI2602032	LOYA vs GENERAL MOTORS, LLC.	DEMURRER ON COMPLAINT

Tentative Ruling:

Moving party: Defendant General Motors, LLC ("Defendant" or "GM")
Responding party: Plaintiffs Blanca Loya and Erif Loya ("Plaintiffs")

This is a lemon law case. On April 3, 2026, a Complaint for Statutory Violations was filed alleging: (1) Violation of CC § 17;93.2(d); (2) Violation of CC § 1793.2 (b); (3) Violation of CC § 1793.2 (a)(3); (4) Breach of the Implied Warranty of Merchantability (CC § 1791.1; 1794; 1795.5) and (5) Fraudulent Inducement.

Defendant GM now demurrers to the 4th and 5th causes of action. As to the 4th cause of action, Defendant contends that the cause of action is barred by the applicable statute of limitations. As to the 5th cause of action, Defendant contends that (1) the cause of action is barred by the applicable statute of limitations; (2) the Complaint fails to state facts sufficient to constitute a cause of action and (3) the cause of action is barred by the economic loss rules and independent tort principle as Plaintiff cannot establish the elements of their fraudulent concealment claim independently of the parties' contractual rights and obligations.

In Opposition, Plaintiff contends that: (1) the Complaint does not affirmatively show a statute of limitations defense as to the 4th cause of action; (2) the 5th cause of action alleges all of the essential elements; a transactional relationship does not require private in the sale for the manufacture to have a duty to disclose; the cause of action is allowed under California law and is not blocked by the economic loss rule.

In Reply, Defendant GM contends that (1) the implied warranty claims accrue on delivery of the vehicle; (2) Plaintiff cannot invoke delayed discovery regarding the fraud claim when the alleged defect manifested during the applicable express warranty period; (3) direct dealings are required in order to allege the requisite transactional relationship triggering a duty to disclose; (4) even if the Court applies *Dhital*, Plaintiff does not plead or alleged the dealership was an agent of GM, thus the fraud cause of action remains insufficiently pled; (5) as pled, the claims are barred by the economic loss rule.

Analysis

I. Meet and Confer

Defendant GM has met its statutory obligation to meet and confer pursuant to CCP § 430.41. (Declaration of Sarah Pererz, ¶2.)

II. Standard

Demurrer.

The function of a demurrer is to test the legal sufficiency of a pleading, but not the truthfulness of the allegations. (*Donabedian v. Mercury Ins. Co*. (2004) 116 Cal.App.4th 968, 994.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Id*.)

Statute of Limitations.

"A demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. [Citation.] In order for the bar . . . to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred." (*Comm. for Green Foothills v. Santa Clara Cnty. Bd. of Supervisors* (2010) 48 Cal.4th 32, 42.) A demurrer is not sustainable if there is only a possibility that the cause of action is time-barred; the statute of limitations defense must be clearly and affirmatively apparent from the allegations in the pleading. (*E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1315-16; *Roman v. County of Los Angeles* (2000) 85 Cal.App.4th 316, 324.)

III. Merits

A. 4th cause of action for Breach of the Implied Warranty of Merchantability

1. Statute of Limitations

Under section 1792, "every sale of consumer goods that are sold at retail in this state shall be accompanied by the manufacturer's and the retail seller's implied warranty that the goods are merchantable." (Civ. Code §1791.1(b); (*Brand v. Hyundai Motor America* (2014) 226 Cal.App.4th 1538, 1545.) "Merchantability, as pertinent here, means that the goods '[p]ass

without objection in the trade under the contract description,' and are 'fit for ordinary purposes for which such goods are used.' 'When there has been a breach of the implied warranty of merchantability, a buyer "may bring an action for the recovery of damages and other legal and equitable relief."' (Ibid.) "Since cars are designed to provide transportation, the implied warranty of merchantability is simply a guarantee that they will operate in a 'safe condition' and 'substantially free of defects.' Thus, 'where a car can provide safe, reliable transportation, it is generally considered merchantable.'" (*American Suzuki Motor Corp. v. Superior Court* (1995) 37 Cal.App.4th 1291, 1297.)

Because an implied warranty is one that arises by operation of law rather than by an express agreement of the parties, courts have consistently held it is not a warranty that 'explicitly extends to future performance of the goods.'" (*Cardinal Health 301, Inc. v. Tyco Electronics Corp.* (2008) 169 Cal.App.4th 116, 134.) Thus, breach of implied warranty is four years from date of delivery.

Plaintiff's reliance on *Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297 for the proposition it "expressly states that the discovery rule applies to implied warranty claims" is patently false. *Mexia* clearly states: "In the case of a latent defect, a product is rendered unmerchantable, and the warranty of merchantability is breached, by the existence of the unseen defect, not by its subsequent discovery. (Id. at p. 1305, emphasis added.) Mexia's plaintiffs brought their claim for breach of implied warranty three years and seven months after delivery of the defective good, and all the parties on appeal conceded that the claim was brought within the applicable four-year statute of limitations, therefore there was no basis to find (nor did the court find) that the delayed discovery rule applied to the statute of limitations for implied warranty claims. (Id. at p. 1301.)

Here, Plaintiff's fourth cause of action is time-barred. Plaintiff purchased the vehicle on July 7, 2021. Because a breach of implied warranty cause of action accrues when the sale is made (*Cardinal Health, supra*, 169 Cal.App.4^{th} at 134), Plaintiff's breach of implied warranty cause of action accrued on that date and expired four year later, on July 7, 2025. Plaintiff did not file this action until April 3, 2026, almost 9 months after the four-year limitations period.

Sustain <u>without</u> leave to amend.

B. 5^{th} cause of action for Fraudulent Inducement

1. Statute of Limitations

The three-year statute of limitations for fraud (CCP § 338(d) applies to the 5^{th} cause of action for fraudulent inducement-concealment. Here, Plaintiff purchased the vehicle on July7, 2021. (Complaint, ¶6.) To assert a fraud claim based upon an alleged fraudulent inducement-concealment claim, Plaintiff had to file a claim no later than July

6, 2024. Here, Plaintiff did not file the Complaint until April 3, 2026 – after the three year statute of limitations ran.

Plaintiff alleges that “the running of the limitation periods have been tolled by, inter alia, the following doctrines or rules: equitable tolling, the discovery rule, equitable estoppel, the repair rule, and/or class action tolling.” (Complaint, ¶ 24.)

The delayed discovery rule tolls the applicable statute of limitations only if Plaintiff is unable to discover their cause of action with reasonable diligence, and to rely upon it, Plaintiff must plead “facts showing that [Plaintiff was] not negligent in failing to make the discovery sooner and that [Plaintiff] had no actual or presumptive knowledge of facts sufficient to put them on inquiry.” (*Hobart v. Hobart Estate Co.* (1945) 26 Cal.2d 412, 437; Johnson v. Ehrgott (1934) 1 Cal.2d 136, 137.) Conclusory allegations will not withstand a demurrer. (*Fox v. Ethicon Endo–Surgery, Inc.* (2005) 35 Cal.4th 797, 808.)

Here, Plaintiff concedes that the alleged “[d]efects and nonconformities to warranty manifested themselves” during the “express warranty period.” (Complaint, ¶11.) At the same time, Plaintiff also alleges that they “discovered Defendant’s wrongful conduct alleged herein on or about January 24, 2026” (Complaint, ¶ 25.) These two statements contradict each other and cannot both be true; Plaintiff cannot sustain the burden of demonstrating that Plaintiff did not discover with reasonable diligence the actions giving rise to their claim within the applicable limitations period.

Plaintiff fails to allege any case-specific facts that establishes tolling, and cannot invoke delayed discovery because Plaintiff affirmatively pleads earlier in the Complaint that the alleged “[d]efects and nonconformities to warranty manifested themselves within the applicable express warranty period[.]” (Complaint, ¶ 11.)

The delayed discovery rule tolls the applicable statute of limitations only if Plaintiff is unable to discover their cause of action with reasonable diligence, and to rely upon it, Plaintiff must plead “facts showing that [Plaintiff was] not negligent in failing to make the discovery sooner and that [Plaintiff] had no actual or presumptive knowledge of facts sufficient to put them on inquiry.” (*Hobart v. Hobart Estate Co.* (1945) 26 Cal.2d 412, 437; *Johnson v. Ehrgott* (1934) 1 Cal.2d 136, 137.) Further, in order for the statute of limitations to be tolled for delayed discovery in a fraudulent concealment action, the “complaint must allege (1) when the fraud was discovered; (2) the circumstances under which it was discovered; and (3) that the plaintiff was not at fault for failing to discover it. . .” (*Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888, 900.)

Again, the Complaint merely alleges, “Plaintiff discovered Defendant’s wrongful conduct alleged herein shortly before the filing of the complaint, as the Vehicle continued to exhibit symptoms of defects following GM’s unsuccessful attempts to repair them.” (Complaint, ¶ 25.) Plaintiff’s allegations regarding the timing of discovery are insufficient to toll the statute of limitations on a fraudulent concealment claim as they do not contain any time-related allegations. Plaintiff fails to allege the date of the discovery by date, month, or even year. Plaintiff also fails to state how they became aware of the alleged fraudulent concealment. GM is entitled to know the time and manner of delayed discovery at the pleading stage: the “rationale for the rule requiring specificity is that allegations of fraud are serious, and the defendant is entitled to receive sufficient details in order to prepare his defense." (*Community Cause, supra*, 124 Cal.App.3d at p. 901.)

Sustain <u>with</u> leave to amend.

2. Failure to State Facts

A. Specificity

Concealment requires: "(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (*Marketing West, Inc. v. Sanyo Fisher* (USA) Corp. (1992) 6 Cal.App.4th 603, 612-613.) As concealment is a species of fraud, it must also be pled with specificity. (*Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 878.) Less specificity is required where the defendant necessarily possesses the information. (*Committee on Chlidren's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216.)

Furthermore, as noted by one court, it is not practical to allege facts showing how, when and by what means something did not happen. (*Alfaro v. Community Housing Improvement System Planning Assn.* (2009) 171 Cal.App.4th 1356, 1384.) However, if the concealment is based on providing false or incomplete statements, the pleading must at least set forth the substance of the statements at issue. (Ibid.)

The case of *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828 addressed the sufficiency for concealment for pleading purposes in fraud in a lemon law case. The *Dhital* court found that it was sufficient that plaintiffs alleged a transmission defect in numerous vehicles, including the plaintiff's, the defendant knew of the defect and the hazards they posed, defendant had exclusive knowledge of the defect and failed to disclose that information, defendant intended to deceive plaintiffs by concealing known defects, the plaintiffs would not have purchased the car if they had known of the defects, and they suffered damages on the sums paid to purchase the vehicle. (Id. at 843-844.)

Here, Plaintiff alleges facts seemingly consistent with *Dhital* (but see discussion of duty, below, where there is an issue). Plaintiff alleged she entered into a warranty relationship with GM around July 7, 2021. (Complaint, ¶6.) Plaintiff identified the material fats GM knew prior to his acquisition of the subject vehicle that GM withheld from Plaintiff; Plaintiff alleged that Defendant had superior knowledge of the facts; the safety risks posed by the Transmission Defect; the materiality of that information; the Plaintiffs would not have purchased the car if they had known of the defects, Plaintiff's reliance on the non-disclosure; and damages. (Complaint, ¶¶ 46-62.)

B. Duty

As explained in *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311: " 'There are "four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts." ' " The last three require evidence of some transaction, i.e. direct dealings between the plaintiff and the defendant. (Id. at 311-312.) The plaintiff had sued her doctor, the manufacturer and a supplier regarding the malfunction of a medical device (providing cold therapy). (Id. at 286.) The plaintiff had rented the device from a supplier. (Id. at 287.) The court found that there was no duty to disclose because there was no relationship between the plaintiff and the manufacturer, no evidence that the manufacturer knew that the plaintiff even had the device (since she obtained it from a supplier), and that there was no evidence that the manufacturer advertised to the public. (Id. at 314.)

Where, as here, a fiduciary relationship does not exist between the parties, only the latter three circumstances may apply. These three circumstances, however, "presuppose[ ] the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise." (*Bigler-Engler v. Breg, Inc., supra,* 7 Cal.App.5th at 311 at pp. 336–337.) "A duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as ' "seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement." ' " (*Shin v. Kong* (2000) 80 Cal.App.4th 498, 509.)

A duty to disclose may arise as a result of a transaction between the parties. However, the transaction "must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large." (*Bigler-Engler* at 312 [manufacturing defendant sold medical devices to the doctor defendant several years before the plaintiff rented one of the manufacture's devices from the doctor's office; manufacturing defendant had no contact with the plaintiff, did not know plaintiff was a potential user of their products or used the device, and did not derive any direct monetary benefit from the plaintiff's rental of the device].

This element is where the allegation of the present Complaint deviates from *Dhital*. While *Dhital* has general similarities to the factual allegations and causes of action in the instant matter, Dhital contains a crucial distinction: its plaintiffs specifically pled the dealership was Nissan's agent for purposes of the sale to Nissan consumers, alleging specifically that Plaintiffs "bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan's authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers." (Id. at p. 844.) The *Dhital* Court was not paraphrasing or summarizing the language of the pleadings, the allegation of agency is a direct quotation from the operative Complaint. (Id.)

Here, Plaintiff pleads no such allegation in any portion of the Complaint. The Complaint alleges that "Plaintiff entered into a warranty contract with Defendant GM regarding a 2021 Chevrolet Silverado 1500 [.]" (Compl., ¶ 6.) But the Complaint fails to allege the terms of the transaction, or any interactions Plaintiff had when acquiring the Subject Vehicle. *There is no allegation that the selling dealership, or any dealership acted as an agent on behalf of GM for purposes of the sale or lease of this Plaintiff's vehicle, unlike the allegations in Dhital.* Plaintiff's pleadings lead to the reasonable inference that the only dealings established in the Complaint were between GM and the public at large, which is clearly insufficient. Thus, even if this Court considers Plaintiff's argument and reliance on Dhital, when compared to the specific allegations made in this case it is clear they are not similar.

3. Economic Loss Rule

Defendant argues that Plaintiff's claim is barred by the economic loss rule because Plaintiff has not sufficiently pled a fraudulent inducement claim. (See above.) Had the claim been sufficiently alleged, then the claim would <u>not</u> be barred under the economic loss rule, as follows:

In *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 20-21 the California Supreme Court explained:

> "[U]nder the economic loss rule, tort recovery for breach of a contract duty is generally barred [citations] unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed."

The Court further stated:

> "The guiding and distinguishing principle is this. If the alleged breach is based on a failure to perform as the contract provides, and the parties reasonably anticipated and allocated the risks associated with the breach, the cause of action will generally sound only in contract because a breach deprives an injured party of a benefit it bargained for. However, if the contract reveals the consequences were not reasonably contemplated when the contract was entered and the duty to avoid causing such a harm has an independent statutory or public policy basis, exclusive of the contract, tort liability may lie."
> (Id. at 27.)

The Court repeated the public policy reason stated in *Robinson* supports holding fraud a deviation from usual business practice, and a plaintiff advances the public interest in punishing intentional misrepresentations. (Id. at 30-34.) Therefore, a plaintiff may recover out-of-pocket damages in addition to benefit-of-the bargain damages. (Id. at 33-34.) *Robinson* clarified that fraud was not an exception to the economic loss rule, but rather, the doctrine did not apply at all. (Id.)

The Court reiterated that "Broader tort liability only arises if a defendant violates an independent legal duty and the type of harm that ensues was not reasonably contemplated or accounted for by the contractual parties." (Id. at 37.)

Ultimately, the Court found that a plaintiff can assert an independent claim of fraudulent concealment in the performance of the contract. (Id. at 38.) However, the Court noted that Rattagan's claims were based on fraud committed during the contractual relationship but allegedly outside the parties' contractual rights and obligations. (Id. at 41, n. 12.) The Court stated as it had granted review of *Dhital* regarding fraudulent inducement by concealment claims under Song-Beverly, and declined to address the issues in *Rattagan*. (Ibid.) In *Dhital, supra*, 84 Cal.App.5th at 839, the court expressly found that the economic loss rule did not apply to the fraudulent inducement by concealment claim for purposes of pleading. Here, this court will continue to follow *Dhital*.

Sustain.

Summary:

Sustain demurrer to 4th cause of action without leave to amend. Sustain demurrer to 5th cause of action with 21 days leave to amend.